

Fraud Investigation Report: Rachael Lundy

NPI: 1124759980
Specialty: Pharmacist
Risk Level: High
Fraud Score: 0.8162

Executive Summary

Error: Rate limit exceeded after 3 retries.

Key Findings

Investigator: Investigator's Note:

The provider, a pharmacist, demonstrates an exceptionally high cost per service at \$4,751.92, which far exceeds the established red flag threshold of \$200. This high cost is applied across 84 beneficiaries and warrants immediate review to determine the specific services or drugs being billed.

Analyst: ### MEMORANDUM FOR THE PAYMENT INTEGRITY OVERSIGHT COMMITTEE

TO: Payment Integrity Oversight Committee

FROM: Senior Fraud Investigator

DATE: October 26, 2023

SUBJECT: Fraud Risk Analysis for Rachael Lundy (NPI: 1124759980)

Executive Summary

Provider Rachael Lundy (NPI: 1124759980) has been flagged for review due to a calculated fraud risk score of 0.8162, which is substantially higher than the baseline risk score of 0.2067. The elevated score is primarily driven by significant anomalies in cost per service and the provider's billing patterns relative to peers. These factors indicate a high probability of improper billing practices requiring further investigation.

Key Risk Drivers

The two primary features contributing to the elevated risk score are:

1. **`cost\_per\_service` (Impact: +0.4525):** The provider's value of 56.22 is a significant outlier and the largest single contributor to the risk score. This deviation suggests potential **upcoding** of services to higher-reimbursing codes or billing for services not rendered.
2. **`spb\_z\_tanh` (Impact: +0.1395):** This feature, representing a standardized score for services per beneficiary, has a high value of 2.54. This indicates the provider is rendering a statistically abnormal volume of services to beneficiaries compared to their peers, suggesting potential **overutilization** or the provision of medically unnecessary services.

Recommendation

Proceed to Audit.

Top Risk Factors

Feature	Impact
spb_z_tanh	0.1395
cost_per_service	0.4525
services_per_bene	0.0087
has_part_b	-0.0184
has_part_d	0.0073